Society and State-centred model of Trade Politics

Week 12

Trade Politics

- What determines the specific trade objectives that governments pursue?

- Society-centred model
  - Emphasize the interplay between organized societal interests and political institutions
  - Recognizes distributional consequences of trade

- State-centred model
  - Emphasize the autonomous decision of government in consideration of the aggregate welfare

- Society-centred Approach
  - Factor model
  - Sector model
    - Factor mobility
    - export-oriented / import-competing sectors
  - Collective Action Problem
    - Free rider
  - Political Institutions
    - SMD
    - Log rolling
    - Reciprocal Trade Agreements Act
    - Fast track authority

- State-centred Approach
  - Infant-industry case for protection
    - Economies of scale
    - Economies of experience
  - Strategic trade theory
    - Oligopoly

Society-centered approach

Factor Model

- Trade politics are driven by competition between factors of production (capital and labour)
  - **Factor endowment** – The relative availability of the different factors of production in a country.
- Assumptions
  - China's factor endowment – abundant labour – Shirts (labour intensive)
  - US's factor endowment – abundant capital – computer (capital intensive)
- Factor incomes in the US after trade
  - Demand for US shirts falls → Shirts production falls
    - Shirt industry releases more labour than capital
  - Demand for US computer rises → Computer production expands
    - Computer industry absorbs more capital than labour
- The income of the scarce factor falls and the income of the abundant factor rises

Factor Model and Trade

- Trade raises the income of society's abundant factor and reduces the income of society's scarce factor

- Implications for trade
  - Owners of abundant factor prefer liberal trade policy
  - Owners of scarce factor prefer protectionist trade policy

- But workers are not homogeneous and capital has **limited** mobility → Sector model

Sector Model

- Factor mobility
  - The ease with which labour and capital can move from one industry to another.
  - Sector model assumes that factors are tied, or specific, to the sector in which they are currently employed

- Trade will affect the incomes of all factors employed in a given industry in the same way.
  - US trade with China
    - will reduce factor income (both capital and labour) in shirt industry
    - will increase factor income (both capital and labour) in computer industry

- But capital is more mobile than labour

Different Sectors

- Export oriented sector: industries that rely intensively on society's abundant factor
  - Factor income will increase after trade

- Import-competing sector (NOT import-oriented!): Labour and capital employed in industries that rely intensively on society's scarce factor
  - Factor income will fall after trade

Collective Action Problem

- Free riding – individuals rely on others to bear the costs of a program from which they derive benefits.
  - Makes collective action difficult

- Larger group faces more problem of free riding
  - Biased towards producers:
    - More free riders among consumers than producers

  - Biased towards protectionism:
    - More free riders among those who pay the costs of tariffs than those who benefit from tariffs.

- Governments rarely liberalize trade unilaterally
  - Reciprocity

TABLE 4.1

Two Models of Interest-Group Competition over Trade Policy

	The Factor Model	The Sector Model
The principal actors	Factors of production or classes	Industries or sectors
How mobile are factors of production?	Perfectly mobile across sectors of the economy	Immobile across sectors of the economy
Who wins and who loses from international trade?	*Winner:* abundant factor—capital in the advanced industrialized countries	*Winner:* labor and capital employed in export-oriented industries
	Loser: scarce factor—labor in the advanced industrialized countries	*Loser:* labor and capital employed in import-competing sectors
Central dimension of competition over trade policy	Protectionist labor versus liberalizing capital	Protectionist import-competing industries versus liberalizing export-oriented industries

Political Institutions

- SMD + simple majority rule in the US
  - One member chosen by simple majority to represent exclusive electoral districts
  - District residents typically employed in a small number of industries, which also supports the rest of the district economy – retail and service-sector
  - Create incentives for groups to organize around narrow industry lines
  - Pressure legislators towards protectionism

- **Logrolling:** In the Congress, legislators join together to support protection of the industries of each other.
  - This dynamic produces a final tariff bill that raises tariffs on a much larger number of items than any individual legislator desires.
  - E.g.) Smoot-Hawley Act (1930) –raising tariffs on almost 20,000 items

Political Institutions

- How to avoid?
  - Giving president the authority to reduce tariffs as much as by 50% in exchange for equivalent concessions from foreign government: **Reciprocal Trade Agreements Act** (RTAA, 1934)
  - Giving president **fast track authority** (1974) – Congress can approve or disapprove but cannot amend or filibuster a trade agreement

- Congress fights back
  - **United States Trade Representative (USTR)** – to lead and coordinate American trade policy
  - **International Trade Commission (ITC)** – determines when protection is necessary in certain industry due to . . .
    - Sudden increase in imports that threaten serious injury to domestic producers (GATT Article XIX, "escape clause")
    - Against unfair trade practice of foreign government

State-Centred Approach

Characteristics

- National policymakers intervene in the economy in pursuit of objectives that are determined independent from domestic interest groups' narrow self-interested concerns
  - which may raise aggregate social welfare

- Assumptions
  - Protectionism can raise social welfare (of the whole domestic economy)
  - Governments can operate independently of interest group pressure.

Infant-Industry Case

- Newly created firms need time to become efficient.
- A short period protection will enable these industries to become efficient.
- Long-run welfare gains created by the now-established industry will be greater than the short-run losses of social welfare imposed by tariff

- Economies of scale
  - Unit cost of producing falls as the number of units produced rises
  - Without protection, new firms will have to compete against established foreign producers that have already achieved economies of scale

- Economies of experience
  - Efficient production requires specific skills that can only be acquired through production in the industry.
  - Without protection, new firms will never be able to survive long enough to acquire economies of experience

Criticisms of Infant-Industry arguments

- Subsidies are better than tariffs because they do not reduce consumer welfare
- Subsidies are not necessary as long as capital markets efficient because companies could borrow from banks to cover the short-term loss
- But . . .

Strategic-Trade Theory

- Markets are oligopolistic. . .

- Oligopoly – industry dominated by a small number of firms.
  - Firms operating in oligopolistic markets earn **excess returns** – profits greater than could be earned in equally risky investments in other sectors
  - Countries with firms that dominate oligopolistic markets capture the excess returns → higher national income
  - The firm that entered the market first will dominate deterring potential rivals: economies of scale and experience → **first-mover advantage**
  - **Targeted government intervention** could help late comers to successfully challenge the first movers.
  - E.g.) High-tech industries

State Strength

- A strong state is necessary to effectively design and implement and industrial policy
  - Autonomous – insulated from domestic interest-group pressure
  - Centralization of authority
  - High degree of coordination among state agencies,
  - Limited number of channels through which societal actors can attempt to influence policy

- Examples of strong states
  - Japan – developmental state
  - France – *dirigisme*